

Introduction to the Legal System-Module II

Beyond the State: The European Union – Institution and Form of Government





28
COUNTRIES

Is it an international organization?

What is the EU?

"A New Legal Order of International Law". -ECJ in *Van Gend en Loos* (1963)

The EU comes about as the result of an **international agreement** between Member States

Since its first stages, the Community has provided a **new model** for transnational relations:

- I. Its institutions are **more powerful** than those of conventional International Organizations.
- II. Its law has direct effects on individuals, while international law obligations are typically directed to states

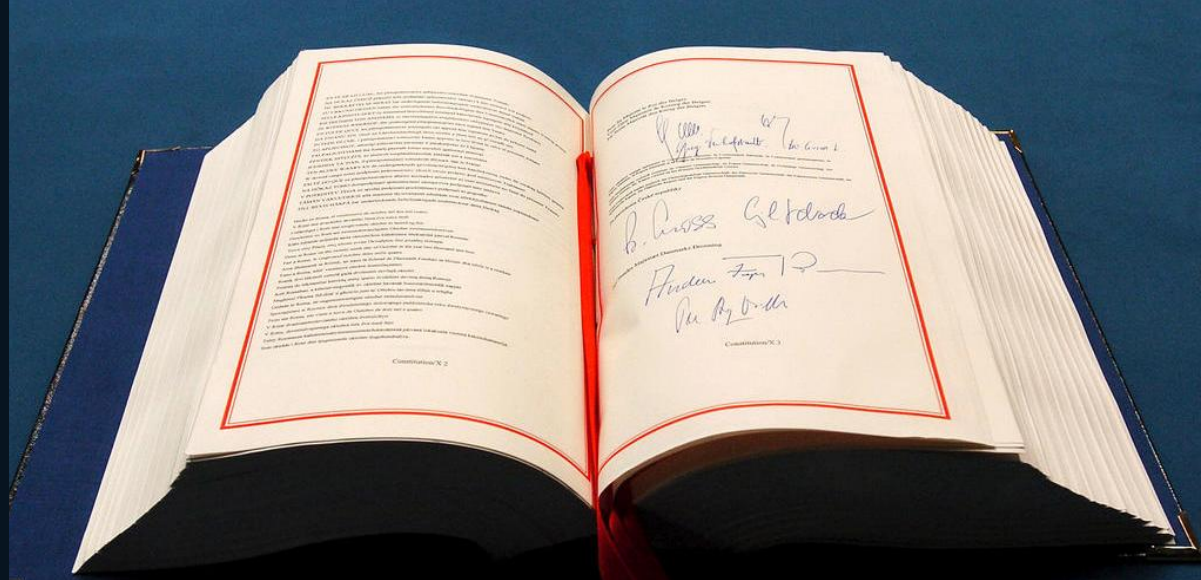


Is it a State?

Not formally:

- EU is **not sovereign** like a State, but ...
- It has acquired some **fundamental federal qualities**:
 - E.G. It has exclusive jurisdiction in the area of **monetary policy**, and it is venturing in other traditional areas of state responsibility (Home Affairs and Foreign Policy)
 - E.G. the **enforcement of its law** is unique among International Organizations and more similar to the one of a **Federal State**.
 - **The European Court of Justice** established the principles of **Supremacy** (EU Law hierarchically superior to national law: it is the Law of the land) and **Direct Effect** (citizens can rely on EU Law directly before a national judge without need of implementation).

Does it have a Constitution?



Not technically, but many scholars agree on the constitutional nature of the **Treaties**.

The ECJ in *Les Verts v. EU Parliament* (1986) defines the Treaty as “**The Basic Constitutional Charter of the EU**” (para. 23).

Since the Treaty of Nice, the EU also has a bill of rights: **European Charter of Fundamental Rights**

➡ Failed attempt to adopt a European Constitution (2004)



The Treaties



1952



The **European Coal and Steel Community**

1958



The treaties of Rome:

- The **European Economic Community**
- The European Atomic Energy Community (EURATOM)

1987



The European Single Act:
the Single Market

1993



Treaty on European
Union - Maastricht

1999



Treaty of Amsterdam

2003



Treaty of Nice

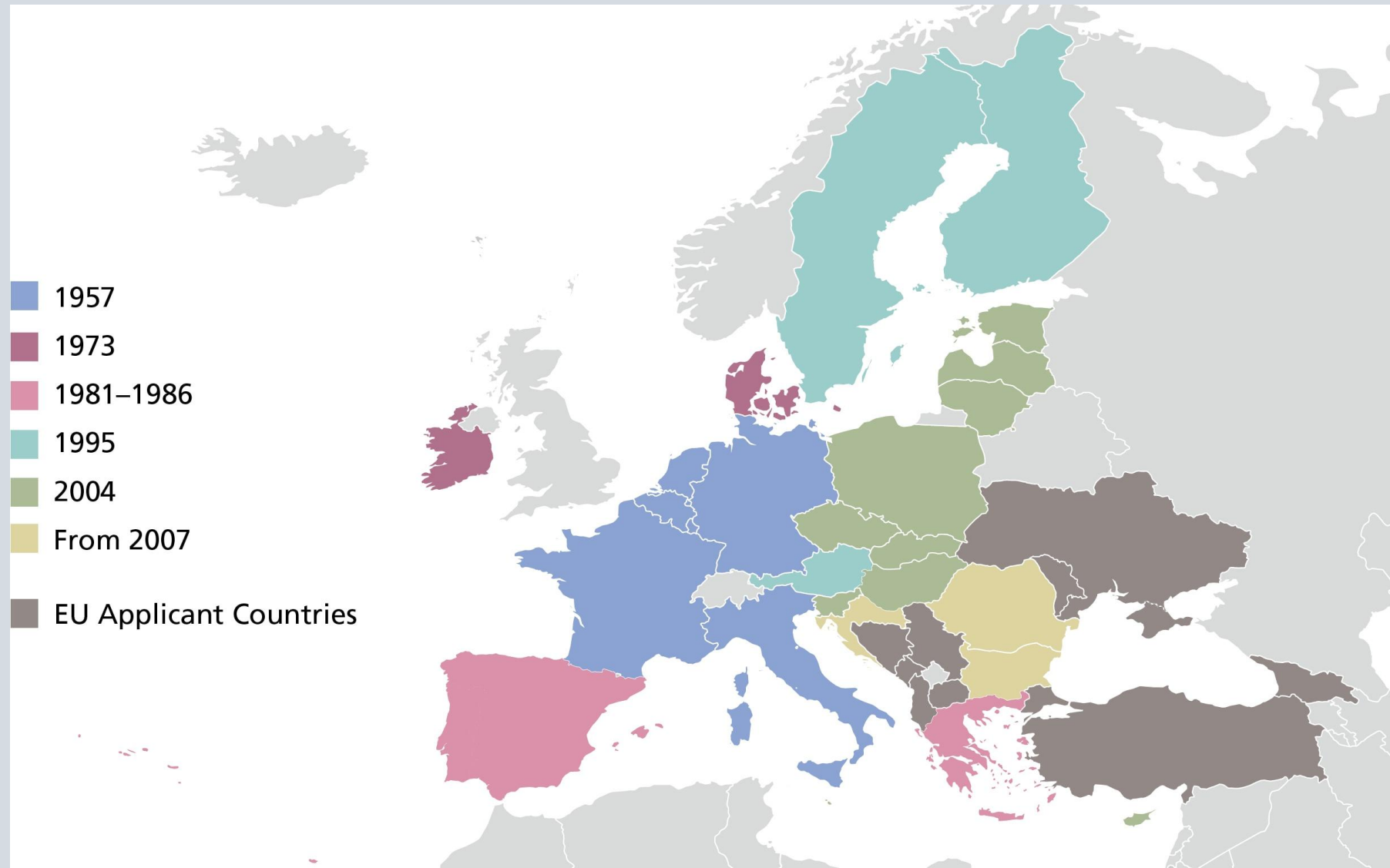
2009



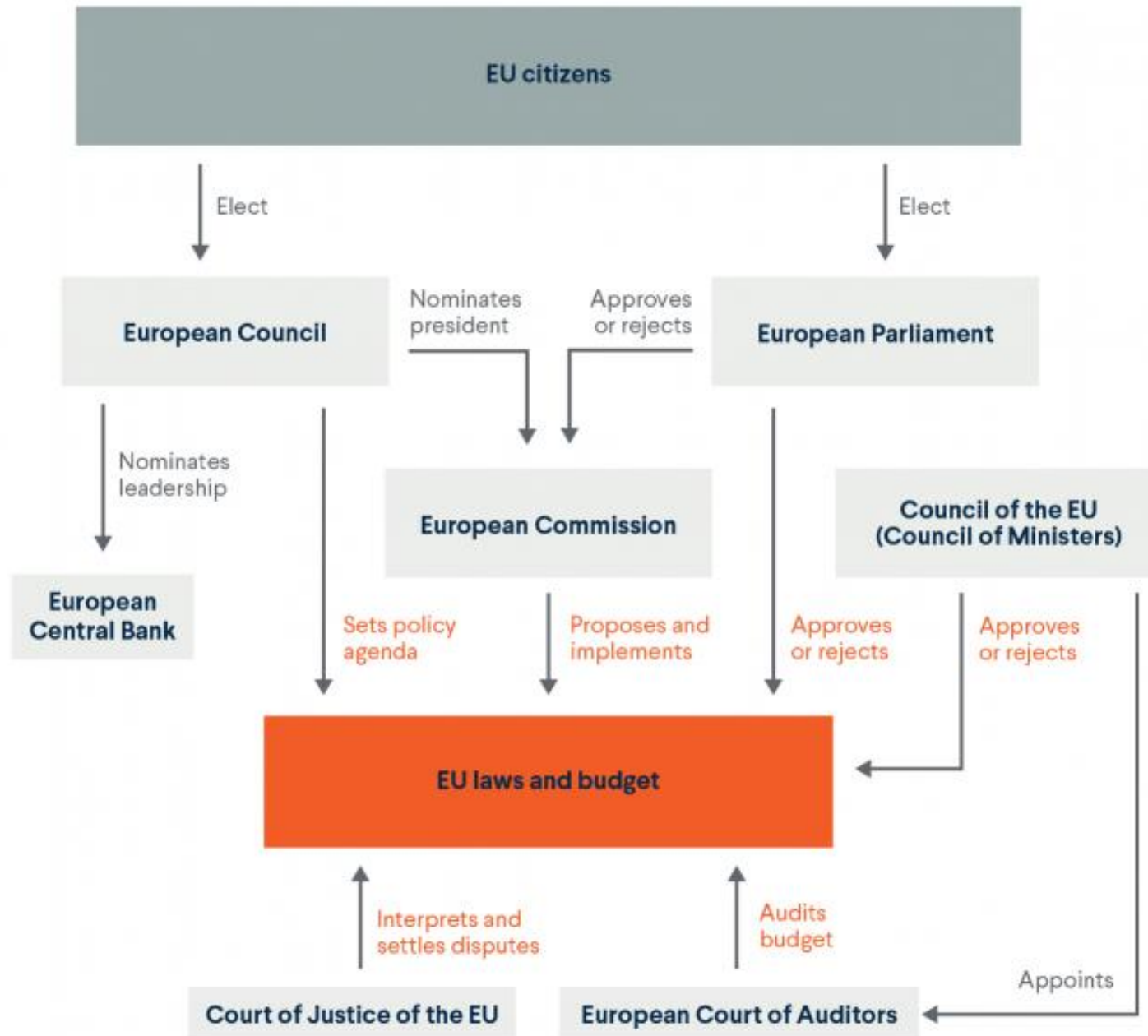
Treaty of Lisbon

- Treaty on the European Union (TEU)
- Treaty on the Functioning of the EU (TFEU)

Enlargement: from six to 28 countries... and to 27



How Do the EU Institutions Work Together?



The Institutions of the European Union

EXECUTIVE

European Council

The EU's 27 national leaders

Sets policy agenda

European Commission

27 commissioners, nominated by the European Council and approved by Parliament

Proposes and implements legislation

LEGISLATIVE

European Parliament

705 members, directly elected by EU citizens

Approves or rejects legislation

Council of the European Union (Council of Ministers)

27 national ministers, grouped by policy area

Approves or rejects legislation

JUDICIAL

Court of Justice of the European Union

Two courts, with judges appointed jointly by national governments

Interprets EU law and settles disputes

European Court of Auditors

27 members, appointed by the Council of Ministers

Audits budget

FINANCIAL

European Central Bank

President and executive board appointed by the European Council

Maintains the stability of the euro and oversees the European financial system

The Council of the European Union



- The Council is the seat where **Member States interests** are represented.
- One seat per each **Member State**.
- It has a **variable configuration** according to the kind of issue that is being discussed.
 - E.G. when dealing with economic issues, the Council will be formed by all of the Ministers of Finance.
- Its members are always politicians –not civil servants.
- Its presidency is rotating semi-annually: e.g. Italian Semester, French Semester, etc.

The Council of the European Union



- It is (together with the Parliament) one of the two legislative body of the EU.
- If we see the EU as an international organization, the Council is the plenary where all State Parties are represented.
- If we see the EU as an emerging State, the Council can be seen as one of the two branches of a bicameral system
 - It has been often compared to a Federal Senate where state interests are represented.

The European Parliament



- Directly elected every five years by European citizens.
 - Directly elected since 1979.
- Electoral Laws are determined at the national level.
- The other law-making body together with the Council.
 - Growing importance:
 - Previously only consulted
 - Today co-decision is the standard procedure
- It votes the confidence to the European Commission

The European Parliament



Types of legislative acts:

- Art 288 TFEU:
- “To exercise the Union’s competences, the institutions shall adopt regulations, directives, decisions, recommendations and opinions.”
- A **regulation** shall have general application. It shall be binding in its entirety and directly applicable in all Member States.
- A **directive** shall be binding, as to the result to be achieved, upon each Member State to which it is addressed, but shall leave to the national authorities the choice of form and methods.
- A **decision** shall be binding in its entirety. A decision which specifies those to whom it is addressed shall be binding only to them.
- **Recommendations** and **opinions** shall have no binding force.”

The European Parliament



- I. Regulations:
 - a. They are equivalent to a law at the national level;
 - b. Generally applicable over all Members of the Union.
- II. Directives:
 - a. A type of legislative act which is special to Union's confederal setting;
 - b. they lay down end-results to be achieved in every member state, but leave it up to national governments to decide how to achieve these goals;
 - c. each directive specifies the date by which it needs to be implemented.
- III. Decisions:
 - a. sometimes they have specific addressees (one or more member states or companies);
 - b. other times they are generally applicable and used to

The European Parliament



The scope of the EU competence:

- a. The three general principles that govern the Union legislative competence are Conferral, Subsidiarity and Proportionality: Art 5 TEU.
- b. The Union does not legislate in all subject matters, but only in those subject matters that the member states, through the treaties, have delegated to it – Principle of Conferral.
- c. Each legislative act is adopted based on a specific legal basis, which determines the type of competence (shared or exclusive) and the type of the legislative procedure.

The European Commission



- I. It is the famous “high authority” Schuman was talking about
- II. It can be seen as the Executive of the EU.
- III. The Commission has monopoly of the power of legislative initiative:
- IV. Art 17 TEU: “Union legislative acts may only be adopted on the basis of a Commission proposal, except where the Treaties provide otherwise.”
- V. Ensures the respect of the Treaties by the Member States through infringement procedures.

The European Commission



27 Commissioners, one per Member State.

- I. Members of the Commission do not represent the Member States.
 - I. “Members of the Commission shall neither seek nor take instructions from any Government.” (art. 17)
- II. President of the Commission
 - I. The Head of Government of the EU
 - II. Chooses the various commissioners together with Member States’ Governments
- III. High Representative for Foreign Affairs and Security Policy:
 - I. Europe’s foreign minister
 - II. The commissioner in charge of Common Security and Foreign Policy
 - III. Vice President of the Commission

The European Commission



Appointment of the Commission:

- The Parliament elects by majority the President of the Commission under proposal of the European Council.
- The President then forms the list of Commissioners, in consultation with the Council of the European Union (not the European Council)
- The Commission as a whole is subjected to a vote of confidence by the European Parliament.
- On the basis of this the Commission shall be appointed by the European Council, acting by a qualified majority.
- The Commission, as a body, shall be responsible to the European Parliament and can be subjected to a motion of censure.
 - If such a motion is passed, the members of the Commission shall resign as a body.

The European Commission



Functions

- I. Art 17(1) TEU: “The Commission shall promote the general interest of the Union and take appropriate Initiatives to that end.”
- II. The Commission is the successor of the High Authority of the Schuman declaration:
 - I. it pursues the interest of the EU as a whole and can be seen as a motor of European Integration.

Can the Commission be seen as the Executive of the EU?

The European Commission



Legislative Powers:

I. Art 17(2) TEU:

“Union legislative acts may only be adopted on the basis of a Commission proposal, except where the Treaties provide otherwise.”

II. The Commission has monopoly of the **power of legislative initiative**:

It proposes legislation to Parliament and Council which can modify, approve, reject legislation but cannot propose it themselves.

The European Commission



Powers of Oversight:

- I. The Commission ensures the respect of the Treaties:
 - a. by the Member States through infringement procedures:

the Commission investigates and prosecutes infringements of EU law by the Member States (can take a member state to Court)
 - b. by firms through competition law:

the Commission investigates and prosecutes firms (private businesses) engaging in behaviour that violates the EU.

The European Council



N.B. it is a separate institution from the Council of the European Union!

- I. It developed informally outside of the Treaties and was then formalized by the Lisbon Treaty (2007).
- II. Composition:
 - I. the 27 Heads of State or Government of the Member States +
 - II. the President of the Commission (but without voting right) +
 - III. the President of the European Council (but without a voting right).

The European Council



Since the Lisbon Treaty, the President of the European Council is a full-time role serving for a 2-and-a-half-year term:

- I. The President is elected by **qualified majority** by the European Council (and cannot be one of the HoS or HoG).
- II. Decisions are taken by consensus (there is no voting in European Council).

The European Council is charged with the definition of the EU's general direction and priorities, in cooperation with the Commission:

- I. It decides the questions of highest political salience that are difficult to decide within the Council of the European Union;
- II. It can be seen as part of the Executive of the EU, together with the Commission.

The European Council



N.B. it does not have any legislative responsibility!

Its president is seen as the principal representative of the EU on the World Stage:

The Head of State of the EU?

The European Court of Justice



Judicial branch of the EU: a “quasi-constitutional” role:

- I. Court of Justice of the European Union:
 - a. 27 Judges, 11 Advocate Generals (6 years);
 - b. National Courts, annulment and appeals.
- II. General Court
 - a. 47 (56 in 2019) judges;
 - b. Annulment from individuals and undertakings.
- III. Full Court/Grand Chamber (13)/Chambers
 - a. Case deemed to be exceptional v MS request.

Language arrangements

Let's Apply the Dispositional Properties to the EU

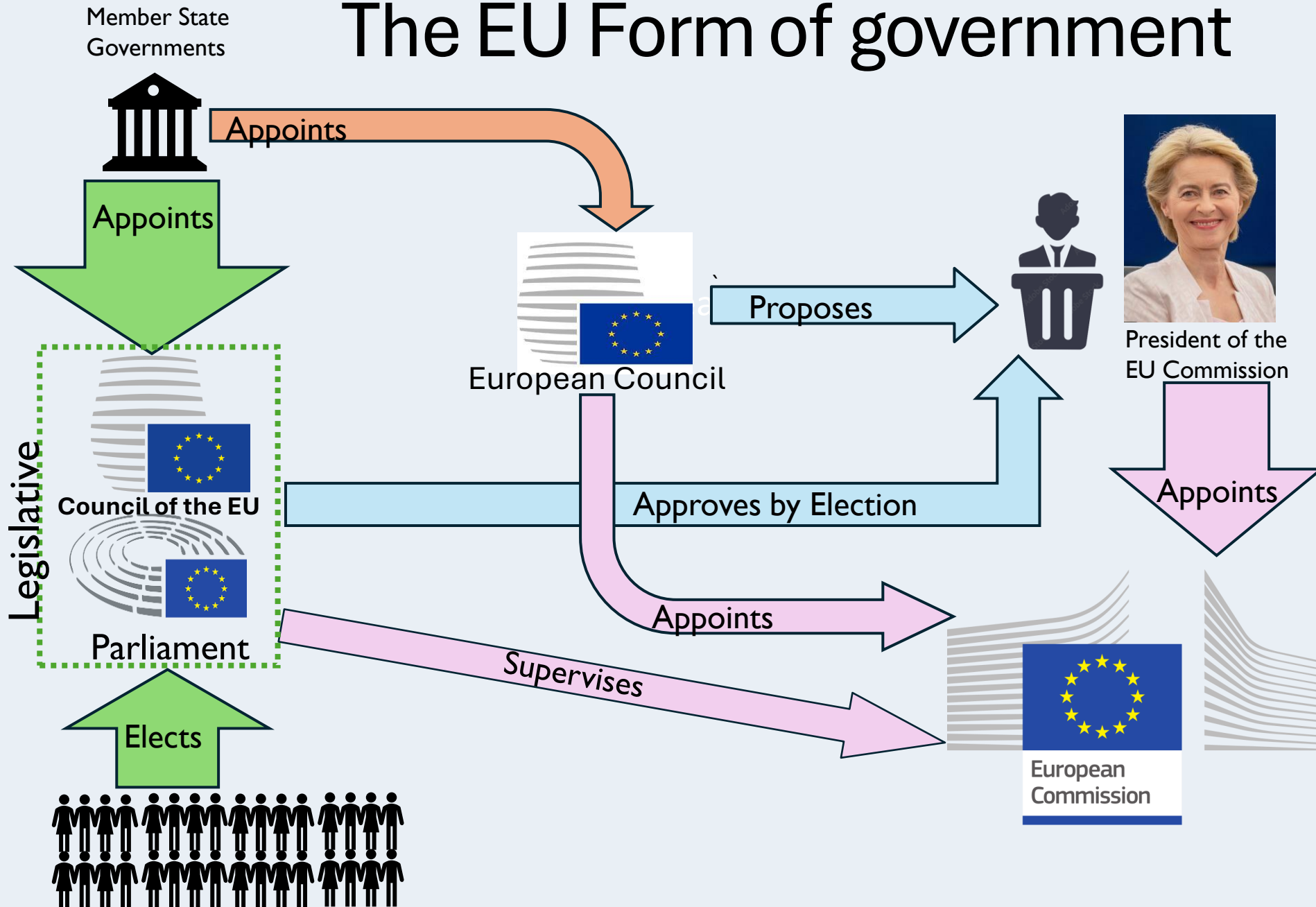
Do we have both a
Head of Gov.t and
Head of State?

Are they popularly
elected?

Do they serve for
a fixed term?

What is the
European Form of
Government?

The EU Form of government





International Law

Is normally not self-executing
– normally requires a national law implementing it.

It does not have direct effect
– if it is not respected this will result in an interstate claim; some other state will need to enforce the lack of respect

It is not hierarchically superior to national law – States can derogate an international agreement through subsequent legislation – *Lex posterior derogat priori*.



EU Law

Is self executing – it does not require implementation; it is law of the land.

It has direct effect – individuals can bring their own state to court for lack of respect of EU law

It is supreme – national law can never derogate EU law.

Functional Orientation of the Community

The European Economic Community was born with a precise substantive focus:

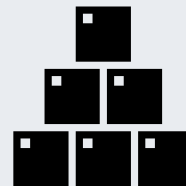
The establishment of an integrated single market – aka the internal market or the common market.

But how to establish it? Through which instruments?

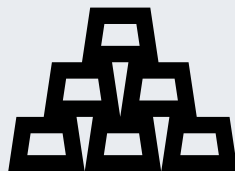
- Through the prohibition of intra-community barriers to trade:
 - Treaties prohibit Member States from imposing barriers to the free movement of the factors of productions (goods, persons, services and capital).
- These are the four freedoms of movement upon which the Market is built.



Services



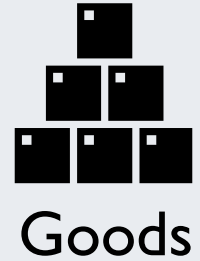
Goods



Capital



People



Free Movement of Goods

Art. 34 TFEU prohibits “quantitative restrictions on imports (quotas) and all measures having equivalent effect.”

The Commission and the Court of Justice used this measure to drastically expand the Common Market.

Very broad Interpretation of what a measure having equivalent effect shall be.

Europe, a legitimacy deficit?



- Many claim that EU integration has gone too far and that the EU has acquired so much power (too much power?) that it needs a different form of legitimation, beyond formal delegation of power from member states.
 - For example:
 - Many argue that the EU needs more democracy and less technocracy.

What do you think are the main challenges the EU is facing today?

Has European Integration gone too far? Or not far enough?

Rule of law crisis?

‘Under the rule of law, all public powers always act within the constraints set out by law, in accordance with the values of democracy and fundamental rights, and under the control of independent and impartial courts’

‘The rule of law includes, among others, principles such as legality, implying a transparent, accountable, democratic and pluralistic process for enacting laws; legal certainty; prohibiting the arbitrary exercise of executive power; effective judicial protection by independent and impartial courts, effective judicial review including respect for fundamental rights; separation of powers; and equality before the law.’

Commission Communication, Further strengthening the Rule of Law within the Union. State of play and possible next steps
(2019)

Concluding Remarks

Form of Government in the EU in its present form has many similarities with a Parliamentary executive.

There is a relationship of confidence between executive and the parliament.

Is the EU democratic? Rule of law crisis?